

TURKEY

2011

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1. Overview of the tax-benefit system

According to Article 79 of the Law No. 5510 on Social Insurance and Universal Health Insurance, for short and long term insurances and universal health insurance, the Institution is obliged to collect, and the concerned parties are obliged to pay premiums in order to cover any kind of payment foreseen in the Law and management expenses. Universal health insurance premiums collected by the Institution shall be transferred directly to the universal health insurance section of the Institution budget, following collection.

Insurance benefits prescribed in the Law are financed by the premiums paid by employees and employers. The rates of the insurance premiums to be collected in line with this Law were regulated in Article 81, with the title “Premium rates and contribution of State”. Accordingly:

The rate of invalidity, old - age and survivors insurance premiums is 20% of the earnings of the insurance holder subject to premium. 9% of this is insurance holder's share, whereas 11% is employer's share.

Short term insurance branches premium rate shall be determined by the Institution pursuant to Article 83, between 1% and 6.5% depending on the gravity of the danger of the work in terms of work accident and occupational disease. All of this premium shall be paid by the employer.

Universal health insurance premium shall be 12.5% of the earning subject to premium calculated pursuant to this Law, for individuals subject to short and long term insurance branches. 5% of this premium is insurance holder's share and 7.5% is employer's share. Universal health insurance

premium for individuals subject to only universal health insurance shall be 12% of the earning subject to premium.

The State contributes to the Institution, at a rate of one fourth of the invalidity, old - age and survivors insurances and universal health insurance premium collected by the Institution per month. The amount to be calculated as contribution of state shall be payable to the Institution, by Treasury, within 15 days following the date of request.

According to the new regulation, premium shares to be paid for insurance holders, who are employed by one or more employer through a service contract, within the scope of paragraph (a) of Article 4 are shown below:

Insurance Branches	Employee's Share (%)	Employer's Share (%)	Total
Short Term Insurance Branches Premium	-	1-6.5	(*)1-6.5
Invalidity, Old-age and Survivors Insurance Premium	9	11	20
Universal Health Insurance Premium	5	7.5	12.5
Unemployment Insurance Premium Rate	1	2	3
Total	15	21.5-27	36.5-39

(*) Premium rates depend on the danger degree and range between 1-6.5 %.

For the private sector employers who employ insurance holders under item (a) of Article 4 of the Law, the amount corresponding to five points of employer share in the premiums of invalidity, old - age and survivors insurances are covered by the Treasury.

Premium shares paid by independent insurance holders who work on their own behalf and account, under item (b) of Article 4 of the Law are shown below:

Insurance Branches	Premium Rates Paid by Insurance Holders %
Short Term Insurance Branches Premium	1-6.5
Invalidity, Old-age and Survivors Insurance Premium	20
Universal Health Insurance Premium	12.5
Total	33.5-39

Premiums of independent insurance holders (4/b) are accrued by the Institution, from 01.01.2009, over the amount to be declared by themselves on the condition that they are in the range of lower and upper limits of daily earning subject to premium, and in case they do not declare, over the lower limit of daily earning subject to premium.

According to the Law No. 5510, the rate of invalidity, old - age and survivors insurance premiums is 20% of the earnings subject to premium of the insurance holder, for the insurance holders who become public servants (4/c) for the first time. 9% of this is insurance holder's share, and 11% is employer's share. Universal health insurance premium is collected from insurance holders who become public servants (4/c) for the first time, at a rate of %12.5 in addition to existing premiums. 5% of this premium is insurance holder's share and 7.5% is employer's share.

Premium shares paid by insurance holders who become public servants (4/c) for the first time, according to the Law No. 5510:

Insurance Branches	Employee's Share %	Employer's Share %	Total
Invalidity, Old-age and Survivors Insurance Premium	9	11	20
Universal Health Insurance Premium	5	7.5	12.5
Total	14	18.5	32.5

In return to duty disability pensions, being or will be paid to insurance holders under item 4/c and to survivors pensions to be granted to their dependants, additional return premium shall be collected at 20% of the state premium benefits allocated to social security institutions from public administrations' budgets for insurance holders in this scope. All of the allocated additional premium shall be payable in equal monthly installments, within six months following the beginning of the month following the effective date of institution budgets after approval of competent authorities. Additional premiums of administrations under general budget shall be covered from the allowance to be placed in the Ministry of Finance budget.

1.1. Average production worker wage (APW)

The AW value for 2011 is TRY 25 633¹.

2. Unemployment insurance

Unemployment Insurance Law was enacted in 1999 and put into effect in June 2000.

Unemployment Insurance is a compulsory insurance that performs with insurance techniques, covering a proportion of the income loss due to unemployment, of those who have lost their jobs unintentionally without any fault, despite their will, ability, health and qualifications for work, for a period of time.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3.

In the context of unemployment insurance, the following benefits and services are provided for unemployed insured persons by ISKUR:

- Unemployment benefit
- Universal Health Insurance premium payments required by the Law No. 5510
- Finding a new job
- Occupational and vocational training

2.1 Conditions for receipt

2.1.1 Working conditions

Persons regarded as insured according to the Unemployment Insurance Law are entitled to receive unemployment benefits, provided that their labour contracts are terminated without their will and fault and they apply to Turkish Employment Agency (ISKUR) personally within the prescribed period and declare that they are keen to have a new job, on the condition that they have worked for at least 600 days with insurance and paid unemployment insurance premiums within the 3 years before the termination of their contracts, and worked continuously and paid premiums for the last 120 days prior to leaving the job.

2.1.2 Contribution conditions

Unemployment insurance is compulsory. Unemployment insurance premiums are paid by the State, employer and the insured, in order to finance all kinds of payments and service expenditure necessary for unemployment insurance.

The basis of calculation for unemployment insurance premium is the monthly gross earnings of the insured, as defined in Articles 80 and 82 of Social Insurances and Universal Health Insurance Law No. 5510, and payment percentages are 1% by the insured, 2% by the employer and 1% by the State.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Daily unemployment benefit is 40 % of the daily average gross earning, calculated by considering the earnings taken as basis for premiums for the last 4 months. The amount of the unemployment benefit calculated as described above, cannot exceed YTL 665.18 per month (80 % of the gross monthly minimum wage for workers over 16 years old, according to Article 39 of the Labour Law No. 4857) and cannot fall below YTL 332.59 per month.

2.2.2 Income and earnings except for benefit recipients and those starting a new job

2.3 Tax treatment of benefits and interaction with other benefits

Unemployment benefits are not subject to any taxes or deductions other than stamp tax, according to Article 50 of Unemployment Insurance Law No. 4447.

The persons who are entitled to receive both job loss compensation (prescribed in Article 21 of the Law on Regulation of Privatization Exercises and Amendments in Certain Statutory Decrees, No. 4046, dated 24/11/1994) and unemployment benefits at the same time are paid the job loss compensation primarily.

Job loss compensation applications are regarded as unemployment benefit request applications as well.

2.4 *Benefit duration and waiting periods*

Workers who have and worked continuously and paid premiums for the last 120 days prior to termination of the labour contract and fulfilled the other requirements mentioned in the Law, are entitled to receive unemployment benefits for the following durations:

- Insured, unemployed persons who have worked with insurance and paid unemployment insurance premiums for 600 days within the last three years receive payments for 180 days.
- Insured, unemployed persons who have worked with insurance and paid unemployment insurance premiums for 900 days within the last three years receive payments for 240 days.
- Insured, unemployed persons who have worked with insurance and paid unemployment insurance premiums for 1080 days within the last three years receive payments for 300 days.

Unemployment benefits are paid to the unemployed person himself/herself at the end of each month and the first payment is made until the end of the first month following the date of entitlement to the benefit.

In case the insured person is employed before completing the unemployment benefit duration and gets unemployed before fulfilling the conditions for unemployment insurance benefit, prescribed in the Unemployment Insurance Law, he/she continues to benefit from this right until the end of the unemployment benefit period he/she became entitled before.

If the person gets unemployed again, fulfilling the conditions prescribed in the Law, he/she is entitled to receive the unemployment benefits only for the duration that arises due to this new entitlement.

There is no waiting period for those entitled to unemployment benefits.

2.5 Treatment of particular groups

2.5.2 *Older workers*

2.5.3 *Others if applicable*

3. Unemployment assistance

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments [NEW ITEM]*

3.2.1.2 *Obligations of family members [NEW ITEM]*

3.2.2 *Income and earnings except for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

4. Social assistance

The State of the Republic of Turkey has taken destitute and poor citizens under protection, with Law No. 2022, on Granting of Pensions to Turkish Citizens Who Are Over the Age of 65 and Who Are Destitute, Infirm and Without Any Means of Support, As Well As Disabled Destitute Citizens, which came into effect on 10.07.1976. Thus, the State puts the citizens in need on salary taking certain criteria into account.

The persons in the scope of the Law are put on salary and their medical treatment costs are met according to the Law No. 3816 Pertaining To Meeting the Medical Expenses of the Citizens Without Means by the State through issuing a Green Card.

4.1 Conditions for receipt

According to the Law No. 2022, on Granting of Pensions to Turkish Citizens Who Are over the Age of 65 and Who Are Destitute, Infirm and Without Any Means of Support, As Well As Disabled Destitute Citizens, conditions for receipt are as below:

1- Old-age Pension (Pension for 65 years of age):

Citizens who are over the age of 65 and do not receive any income or pension from any of Social Security Institutions and whose income (total of all kinds of income or monthly average of alimonies provided by relatives responsible for alimony, whether paid or not) is below the indigence line are put on Old Age Pension. Indigence line is calculated according to public servant salary coefficient, multiplied by the indicator 1615.

2- Disability Pension for Persons over 65 and Requiring Care: (disability over %70)

“Disability Pension for Persons over 65 and Requiring Care” to the amount of 300% of indigence line is paid to the persons among our citizens, who are at the age of 65 and cannot survive without care of another person (disabled to the degree of %70 and over) and cannot benefit from an income or pension of any social security institution and whose monthly average of all kinds of income and maintenance income acquired or they are able to acquire from their relatives who are liable to pay in accordance with our Civil Code is below indigence line.

3- Disability Pension (disability between 40-69%)

Disability pension to the amount of 200% of indigence line is paid to the ones among our citizens who are between 18-65 ages, have a degree of disability between 40%-69% and cannot benefit from an income or pension of any social security institution and whose monthly average of all kinds of income and maintenance income from their relatives who are liable to pay in accordance with our Civil Code is below indigence line.

4- Disability Pension for Persons Requiring Care (disability over 70%)

Disability pension for persons requiring care to the amount of 300% of indigence line is paid to the ones among our citizens who are between the ages of 18-65 and cannot survive without care of another person (disabled to the degree of 70% and over) and cannot benefit from an income or pension of any social security institution and whose monthly average of all kinds of income and maintenance income acquired or they are able to acquire from their relatives who are liable to pay in accordance with our Civil Code is below indigence line.

5- Pension for relatives of disabled (below the age of 18, disabled/invalid-disability of 40%)

Pension for relatives of disabled to the amount of 200% of indigence line is paid to the citizens who cannot benefit from an income or pension of any social security institution and whose

monthly average of all kinds of income and maintenance income acquired or they are able to acquire from their relatives who are liable to pay in accordance with Civil Code on condition that they have disabled children and realize the nursing of their disabled relative at the age of 18.

4.2 Calculation of benefit amount

Pensions are calculated according to the amount which is derived from multiplying 1615 indicator digit by officer salary parameters which is determined each year by the Budget Act.

- Old-age Pension (Pension for 65 years of age) is calculated by adding the minimum living allowance amount to the amount derived from multiplying 1615 indicator digit by officer salary parameters (indigence limit).

According to the Law No. 2202, the Amount of the Pensions Granted in 2010 is shown in the table below:

Beneficiaries	Benefit Amounts Paid in 2010 (TL)	
	January-June /2010 period	July-December /2010 period
1- Old-age Pension (Pension for 65 years of age)	97.3	100.8
2- Disability Pension for Persons over 65 and Requiring Care	291.9	302.4
3- Disability Pension (disability between 40-69%)	194.6	201.6
4- Disability Pension for Persons Disabled and Requiring Care (disability over 70%)	291.9	302.4
5- Disabled Relative Pension (Handicapped-Disabled below 18)	194.6	201.6

4.2.1 Calculation of gross benefit

4.2.1.1 Irregular additional payments [NEW ITEM]

4.2.1.2 Obligations of family members [NEW ITEM]

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

4.3 *Tax treatment of benefit and interaction with other benefits*

4.4 *Benefit duration and waiting periods*

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. *Housing benefits for rented accommodation*

5.1 *Conditions for receipt*

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. *Family benefits*

6.1 *Conditions for receipt*

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments [NEW ITEM]*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. *Childcare for pre-school children*

7.1 *Out-of-pocket childcare fees paid by parents*

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

7.2.2.2 *Income and earnings disregards*

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. *Employment-conditional benefits*

Public Workfare Programs (PWP)

PWP are the programs aiming at short-term employment and training of the unemployed in the times of high unemployment, by realization of a work or a service for public good, directly or with a contractor. These activities are usually carried out to prevent the unemployed recorded in the Institution from losing their working routine and discipline, and experiencing financial difficulties due to long-term unemployment.

8.1 *Conditions for receipt*

1- To participate in PWP, the applicant must meet the following conditions:

- a) Being unemployed and having a record in Turkish Employment Agency
- b) At the age of 18 and older
- c) Not receiving retirement, disability or survivor's benefit.

2- In case of high demand for PWP, participants are determined by drawing before a notary public.

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

Worker's wage expense is calculated according to the current gross minimum wage of a worker who is over 18 years old and working in the industry sector, and which is composed of wage, tax and social security payments. (Participants will receive a wage during PWP, which will be calculated over the current minimum wage, according to their duration of work.)

The Gross Minimum Wage paid between 1 July 2010 – 31 December 2010 for the workers over 16 is **760.50 TL**.

8.3 Tax treatment of benefit and interaction with other benefits

Public Workfare Programs are taxed over gross wage.

Gross income	760.50 TL
Insurance premium (workers' share)	106.47 TL
Unemployment insurance (workers' share)	7.61 TL
Income tax base	646.42 TL
Income tax	96.96 TL
Stamp tax	5.02 TL
Total deductions	216.06 TL
Net wage	544.44 TL

8.4 Benefit duration

1- Maximum duration of the programs is 6 months.

2- Programs can be arranged as full-time or half-time, due to their specific properties. However, the condition of part-time work will be requested primarily, according to the properties of the work or the program, to enable a higher number of unemployed persons to benefit from the programs. In the context of part-time work, the sum of the hours worked in a month will be divided into 7.5 hours and the result will be the number of days worked in the month. The wage and other payments (Social Security Institution payments etc.) will be calculated over this amount.

8.5 Treatment of particular groups

All groups are included in the programs, giving priority to the long-term unemployed.

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 *Calculation of gross benefit*

9.2.1.1 *Irregular additional payments [NEW ITEM]*

9.2.2 *Income and earnings disregards*

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular groups

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

10.1 Income tax

10.1.1 *Tax allowances and credits*

10.1.1.1 *Standard allowances*

Reliefs for social security contributions: Employee's social security contributions are deductible from gross earnings. These contributions are 15 per cent of gross income as stated by the Social Insurance Act. The contribution to the unemployment fund is included in this amount and equals 1 per cent of gross income.

10.1.1.2 *Standard tax credits*

Minimum Living Relief: The calculation of the minimum living allowance is based on the annual gross amount of the minimum wage for employees older than 16 at the beginning of the calendar year in which the income is obtained multiplied by the following rates:

- 50 per cent for the taxpayer him or herself;
- 10 per cent for the spouse who neither works nor has an income;

- 7.5 per cent for each of the first two children;
- 5 per cent for each additional child.

This total amount is then multiplied by the rate (15 per cent) which is applied to the first income bracket of PIT Schedule stated in Article 103 of PIT Law, and then minimum living relief is calculated by offsetting 1/12 of the allowance amount against monthly calculated tax due on employment income. Any excess is non-refundable.

10.1.1 *Income tax schedule (central government income tax)*

The tax schedule in 2011 is as follows:

Taxable income (TL)	Tax on lower threshold (TL)	Tax on excess amount above lower threshold (%)
Up to 9.400		15
9.400 up to 23 000	1 410	20
23 000 up to 80 000	4 130	27
80 000 and over	19 520	35

Stamp tax

The stamp tax base is gross earnings. The tax rate is 0.66 per cent in 2011.

10.1.3 *State and local income taxes*

Income tax is levied only by the central government.

10.2 *Treatment of family income*

Spouses are taxed separately on earned income. This rule has applied since 1 January 1999.

10.3 *Social security contributions and payroll taxes*

Insurance benefits in Social Insurance and Universal Health Insurance Law No. 5510 are financed with premiums collected from employees and employers. According to the Law, lower limit of the daily earning subject to premium in calculation of premiums to be collected and benefits to be granted by is one thirtieth of the monthly minimum wage in effect and the upper limit is 6.5 times the lower limit of daily earning. Minimum wage is determined twice a year. There is no difference in terms of marital status or sex and the premiums are calculated according to the gross income.

Lower limit of the daily earning for persons older than 16 years old was 24.30 TL and the upper limit was 157.95 TL for the period January-June 2010.

For the period July-December 2010, lower limit of the daily earning for persons older than 16 years old was 25.35 TL and the upper limit was 164.78 TL. Information on the amount of monthly income which is basis for allowances collected and premiums paid according to daily income limits are explained below:

Amount of monthly income which is basis for allowances collected and premiums paid in 2010:

Period	Lower Limit for Monthly Income (TL)	Upper Limit for Monthly Income (TL)
January-June/2010	24.30x30=729.00	157.95x30=4,738.50
July-December/2010	25.35x30=760.50	164.78x30=4,943.40

Ceiling amount was 58,091.40 TL and base amount was 8,937.00 TL in 2010.

10.3.1 Contributions payable by employees and benefit recipients

Monthly premium amounts paid according to the premium rates valid for insurance branches, by insurance holders who are employed by one or more employers through a service contract (4/a) with minimum wage in 2010 are as follows:

Insurance Branches	Premium Rate %	Monthly Minimum Premium Amounts Paid by the Insurance Holder (TL)	
		January-June /2010	July-December /2010
Invalidity, Old-age and Survivors Insurance	9	729x0.09= 65.61	760.5x0.09=68.45
Universal Health Insurance	5	729x0.05= 36.45	760.5x0.05=38.03
Unemployment Insurance	1	729x0.01= 7.29	760.5x0.01= 7.61
Total	15	109.35	114.09

10.3.2 Contributions paid by employers

Monthly premium amounts paid according to the premium rates valid for insurance branches, by an employer who employ an employee older than 16 with minimum wage (4/a) for minimum wage in 2010, are as follows:

Insurance Branches	Premium Rate %	Monthly Minimum Premium Amounts Paid by Employers (TL)	
		January-June /2010	July-December /2010
Short-term Insurance Branches	1-6.5	729 x 1%=*7.29	760.5 x 1%=7.61
Invalidity, Old-age and Survivors Insurance	11	729 x 11%=80.19	760.5 x 11%=83.66
Universal Health Insurance	7,5	729 x 7.5%=54.68	760.5 x 7.5%=57.04
Unemployment Insurance	2	729 x 2%=14.58	760.5 x 2%=15.21
Total	21.5-27	156.74	163.52

(*)It is the amount of premium in case the premium rate is taken as 1%. In case the premium rate is 6.5 %, this amount will be 47.39 TL

10.3.3 Payroll taxes

10.4 Treatment of particular groups

10.4.1 Young persons

Gross minimum wage paid between January–June/2010 for the workers younger than 16 was 621 TL and 648 TL between July–December/2010. Monthly premiums for young employees are calculated as explained above.

10.4.2 Older workers

According to the Law No. 5510, social security contribution payments are collected from the insurance holders, who are receiving old-age pension and employed by one or more employers through a service contract (4/a), over the earnings subject to premium and with 30% addition to the short-term insurance branches premium rate. 7.5% of the 30% is insurance holder's share and 22.5% is employer's share. Short-term insurance branches premium, which is between 1% and 6.5% depending on the danger class and degree of work is added to employer's share of 22.5% and the total differs between 31% and 36.5%.

Social security contribution payments made by insurance holders, who are receiving old-age pension and employed through a service contract with minimum wage of 760.50 TL and social security contribution payments by the employers are shown below:

		Monthly Social Security Contribution Payments (TL)
Monthly Gross Minimum Wage	760.5	
Insurance Holder's Share (Contribution payment)	%7.5	$760.5 \times \%7.5 = 57.04$
Employer's Share (Contribution payment)	%22.5	$760.5 \times \%22.5 = 171.11$
Short-term Insurance Branches Employer's Share	%1-6.5	$*760.5 \times \%1 = 7.61$
Total	%31-36.5	235.76

(*)Calculated in accordance with 1% premium rate.

10.4.3 Others if applicable

11. Part-time work

11.1 Special benefit rules for part-time work

Although there aren't any regulations about part-time work in Social Insurance and Universal Health Insurance Law No. 5510, experts and master teachers who are deemed to be insured within the scope of paragraph (a) of Article 4 and whose working days are less than 30 days, pay their premiums proportionally with their working time and they benefit from the risks covered by

various insurance branches in a period longer than the insurance holders working full-time, regarding the number of premium payment days.

11.2 *Special tax and social security contribution rules for part-time work*

Information about the number of premium payment days for part-time work:

- In case the standard weekly working duration has been set as less than two thirds of the working time of a peer worker with full-time labour contract, it is called part-time working.

- Depending on the type of the written part-time labour contract signed by the employer and the insurance holder, in case it includes a clause on working for monthly wage, the insurance is declared as full month, regardless of the weekly working duration.

- If the labour contract has been signed on the basis of hourly pay, total working duration of the part-time worker in a month is divided into 7.5 hours, which is the usual daily working time according to the Labour Law No. 4857, in order to calculate the number of days for premium payment. In this calculation, the working duration which is less than 7.5 hours is accepted as a full day.

- Total working duration of the insurance holders working in the scope of the Maritime Labour Law No. 854, dated 20.04.1967 and the Law on Regulation of the Relations between Employees and Employers in the Press Profession No. 5953, dated 13.06.1952, is divided into 8 hours to calculate the number of days of insurance declaration. In this calculation, the working duration which is less than 8 hours is accepted as a full day.

- In case of on-call work, where it is agreed through a written contract that the action of working shall be performed when worker is required in relation with the work undertaken by him/her, monthly working duration of the insurance holder is calculated according to the duration on which the parties agreed if the working time is determined as day, week or month and according to the provisions above if the working time is not determined as day, week or month. If the working time exceeds the duration determined by the parties as day, week or month, this duration is taken into account in the calculation of the number of days for the insurance declaration, in accordance with the provisions mentioned above.

12. *Policy developments*

12.1 *Policy changes introduced during 2011*

12.2 *Future policy changes announced in 2011*

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organized schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalization Fund and Community Tax.